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UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 6 JOINT STOCK COMPANY

Learning Objectives

To enable the students to understand

i. the meaning of Joint Stock Company
ii. the characteristics, advantages, disadvantages
iii. the types of companies
iv. the Memorandum of Association and its contents
v. the Articles of Association and its contents
vi. the Prospectus and its contents

6.01 Meaning and Definition of a Company

A joint stock company is a distinct type of business organisation evolved to overcome the limitations of sole trader and partnership concerns. The advancement in science and technology and the impact of industrial revolution have all necessitated a large amount of capital investment and highly sophisticated managerial skill for running a large-scale industry. Partnership with limitations of its capital and managerial ability and with the added risk of unlimited liability has been found unsuitable for running a large-scale industry in modern times. Therefore joint stock company form of organisation came into existence.

The joint stock companies in India are governed by The Companies Act 2013 (earlier one was, The Companies Act 1956). The new Act has been divided into 29 chapters with 470 sections.

The Act came into force on 12 September 2013 with few changes like earlier private companies maximum number of members was 50 and now it will be 200. A new class of company is of "One Person Company" is included in this Act that will be a private limited company.

Definition

"A company is an association of many persons who contribute money or money's worth to a common stock and employ it in some trade or business, and who share the profit and loss (as the case may be) arising there from."

- James Stephenson

"A company is an artificial person created by law having a separate entity with a perpetual succession and a common seal".

- Sec 2 of Companies Act 2013